

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-02

**YSN IMPORTS INC. d/b/a FLAME KING,
Complainant,**

v.

**FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC.,
Respondents.**

RESPONDENTS’ MOTION TO DISMISS COMPLAINT

Respondents Feige “Peggy” Oberlander, U Shippers Group Inc., and U Shippers Group Management Co., Inc. (collectively “Respondents”) hereby respectfully move for dismissal of the Complaint.

I. Summary of Argument

The Complaint of YSN Imports Inc. d/b/a Flame King (“Flame King” or “Complainant”) must be dismissed because it is a breach of contract claim which fails to allege elements peculiar to the Shipping Act. Federal Maritime Commission (“FMC” or “Commission”) jurisprudence is well-established that the Commission lacks jurisdiction to hear such claims even if the Complainant seeks to dress up its breach of contract claim as somehow constituting a Shipping Act violation.

The fact that the Complaint at issue is merely a dressed-up breach of contract claim is plainly evidenced by the fact that Flame King has made the same factual allegations in a civil action in the United States District Court for the Eastern District of New York. A copy of the

second amended complaint is appended as Exhibit 1. The best that Flame King can do to distinguish that ongoing litigation from its Complaint here is its bald assertion that U Shippers Group Inc. (the “Association”) is not being run as a non-profit association. A review of the actual allegations, however, do not establish the basis for such a claim. Instead, the allegations are that Respondents, U Shippers Group Management Co. Inc. (“Management”) and Feige “Peggy” Oberlander (“Oberlander”), the Director and Management firm of the Association, are charging rates in excess of what allegedly had been agreed upon with their members. This allegation fails to establish Commission jurisdiction for at least two reasons: First, nowhere in Commission regulations are there provisions limiting the amount that the managers of a shipping association can charge for their services. To the extent that the Complainant seeks to overcome this hurdle by piercing the corporate veil and treating the managers of the shipper’s association as the shipper’s association itself, it fails because threadbare recitals of veil-piercing, such as are alleged here do not suffice to establish a plausible claim of alter ego liability. Second, as reflected above, and herein, although the Commission does have jurisdiction over service contracts, that jurisdiction does not extend to breach of contract claims nor does it extend to enforcing contract terms.

Finally, the relief sought by the Complaint fails because there are no “reparations” to which the Complainant is entitled. The allegations that an invoice was issued to Flame King, which it has not paid, does not constitute compensable reparations under the Shipping Act. Further, the equitable relief being sought is not within the Commission’s jurisdiction. Indeed, Flame King *already* sought similar relief in the district court in the form of a temporary restraining order, which the court denied. A copy of the Order denying that relief is appended as Exhibit 2.

Accordingly, the Complaint should be dismissed.

II. Statement of Material Facts¹

The Association is a recently formed shippers' association under the Shipping Act, 46 U.S.C. § 40102 (24), which provides services to more than 50 members by negotiating favorable contracts with steamship lines. (*See* Complaint IV.B.1,2; Declaration of Feige Oberlander ("Oberlander Decl."), ¶ 1, attached as Exhibit 3).

U Shippers Group Management Co. Inc. ("U Shippers Group") manages the Association and Peggy Oberlander ("Oberlander") is the Director of U Shippers Group. (Complaint II.A-E, Oberlander Decl. ¶ 1.) Since its founding in early 2020, the Association has been provided shippers' association services and has done so successfully despite the severe difficulties in the shipping industry caused by the COVID-19 crisis. (Complaint IV.B.19-22; Oberlander Decl. ¶ 2.)

Complainant is a sophisticated commercial business, who became a member of the Association to take advantage of its services and obtain favorable rates and shipping space. (Oberlander Decl. ¶ 3). It did so in the midst of the COVID-19 pandemic, a time when, as Flame King admits in its Complaint, availability of commercial shipping arrangements was volatile and uncertain. (Complaint IV.B.3-4,63; Oberlander Decl. ¶ 3.) At the beginning of July 2020, the Association entered into a Service Contract with Maersk. (Complaint IV.A.2; Oberlander Decl. ¶ 5.)

Pursuant to the member enrollment that Flame King executed in mid July 2020, Complainant did not commit to place a single order with the Association. (Oberlander Decl. ¶ 4.) Nonetheless, the Association was able to provide affordable shipping space to Complainant at a time when such space was not readily available. (*Id.*)

¹ The Complaint is filled with many false factual statements which Respondents sharply contest. However, on this motion to dismiss, the action should be dismissed notwithstanding the Complainant's false factual assertions, and Respondents will not here refute these false allegations.

On or about July 15, 2020, Flame King began booking containers under the Service Contract with Maersk. (*Id.* ¶ 7.) The Association communicated with Flame King that there was limited space available through the Maersk system, and that it should not overbook. Nevertheless, Flame King overbooked by about 50%. On December 9, 2020, Flame King moved for a temporary restraining order and a preliminary injunction enjoining Respondents from “from (1) ‘canceling Plaintiffs’ membership’ in the Association and (2) ‘changing [Plaintiffs’] current shipping allocations as members of’ the Association.” (*See* Exhibit 2.) On December 21, 2020, Flame King’s application for a temporary restraining order was denied by the District Court. Flame King subsequently raised its bookings to approximately *three* times its allotment. (Oberlander Decl. ¶ 7.)

Because of these excessive bookings, On February 18, 2021, the Association notified Flame King by email that its membership was terminated due to excessive and disproportionate bookings. (*Id.* ¶ 6.) Accordingly, the Association terminated Flame King’s membership on the basis that Flame King had booked too many containers under the allocation set by the Association for the Service Contract with Maersk. (*Id.*; *see* Complaint IV.B.55.)

On December 8, 2020, Flame King filed a Complaint asserting the same factual allegations in the United States District Court for the Eastern District of New York. (Oberlander Decl. ¶ 7; *see* also Exhibit 1.)

III. Legal Standards

A. Motions to Dismiss Are Governed by Federal Rule of Civil Procedure 12(b)(6)

The Federal Rules of Civil Procedure are followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. Rule 12(b)(6) of the Federal Rules generally governs

motions to dismiss. The Commission, as well as federal courts, apply the standards set forth by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). See *Port Elizabeth Terminal & Warehouse Corp. v. The Port Authority Of New York And New Jersey*, 1 F.M.C.2d 29, 30-31 (2018).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Twombly*, 550 U.S. at 570. “A pleading that offers ‘labels and conclusions’ or ‘a formulaic recitation of the elements of a cause of action will not do.” *Iqbal*, 556 U.S. at 678 (quoting *Twombly*, 550 U.S. at 555). Rather, the court (or here the Commission) reviews only the “well-pleaded factual allegations . . . and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 678.

Apart from the allegations of the Complaint, it is established that a tribunal deciding a motion to dismiss may review “matters of which a court may take judicial notice.” *Tellabs, Inc. v. Makor Issues & Rights, Ltd.*, 551 U.S. 308, 322 (2007). This includes public records, such as documents filed in courts. See, e.g., *McCone v. Thorpe*, 828 Fed. Appx. 697, 698 (11th Cir. 2020); *Twumasi-Ankrah v. Checkr, Inc.*, 954 F.3d 938 (6th Cir. 2020); *Citizens for Responsibility and Ethics in Washington v. Trump*, 924 F.3d 602, 607 (D.C. Cir. 2019).

B. The Scope of Commission Jurisdiction

Pursuant to the plain language of the Shipping Act, the Commission’s jurisdiction is limited to determining whether there has been a violation of the Act. See 46 U.S.C. § 41301(a). Commission jurisdiction does not extend to breach of contract issues or a breach of fiduciary duty. The Commission’s interpretation of its mandate confirms this limited jurisdictional scope. *Dukart v. Ocean Star International Inc.*, 2 F.M.C.2d 118, 126 (2020) (“[T]he Commission has no authority to hear Complainant’s claims alleging failure to maintain contractual obligations, breach of

contract, fraud, deceptive trade practice, gross negligence, and intentional misconduct.”) “When pleadings come before us in which violations of the Act are heavily veiled in common law pleadings it becomes difficult to distill the activities alleged to be in violation of the Act from those which indicate the possible violations of some common law obligation.” *Id.*

When determining whether the Commission has jurisdiction over a complaint, it looks to “whether a complainant’s allegations are inherently a breach of contract claim, or whether they also involve elements peculiar to the Shipping Act.” Docket No. 99–24, *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, FMC No. 99-24, at 12 (Oct. 31, 2000). This interpretation by the Commission of its governing authority has been upheld by Congress. Ocean Shipping Reform Act of 1998, Pub. L. No. 105-258 (“OSRA”) (“[t]he bill would retain the 1984 Act provision providing that the exclusive remedy for a breach of a service contract is an appropriate court, not the FMC.”).

Although the Shipping Act expressly governs service contracts, 46 U.S.C. § 40502, and service contracts are “subject to the requirements” of the Shipping Act, 46 U.S.C. § 40502(a), the requirements in this regard are limited. These requirements include filing such agreements with the Commission, 46 U.S.C. § 40502(b)(1), the inclusion of certain “Essential Terms,” 46 U.S.C. § 40502(c), and publication of those terms. 46 U.S.C. § 40502(d). The Commission’s jurisdiction over service contracts, does not extend to breach of contract issues nor does it extend to enforcing contract terms.

Further, Section 8(c) of the Shipping Act (now 46 U.S.C. § 40502(f)), specifically holds that the exclusive remedy for breach of a service contract lies with the courts. As reflected in *Western Overseas Trade and Dev. Corp. v. ANERA*, 26 S.R.R. 874, 875 (1995), the Commission recognizes that “we are barred by section 8(c) of the 1984 Act from hearing those claims, which,

although couched in terms of alleged violations of the 1984 Act, seek remedies that would otherwise be available in a breach of contract action if the matter were brought before a court.” *Id.* at 883-84. As further reflected in *Vinmar, Inc. v. China Ocean Shipping Co.*, 26 S.R.R. 420 (FMC 1992), the Commission does not have jurisdiction to enforce the terms of a service contract “they are to be enforced in the courts and not at the Commission.”

The Commission has found that “[a]s a general matter, allegations essentially comprising contract law claims should be dismissed unless the party alleging the violations successfully rebuts the presumption that the claim is no more than a simple breach of contract claim.” *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 SRR 1635, 1645 (2000). Here, Complainant has failed to establish or articulate facts that support that its complaint is anything more than a breach of contract issue. Moreover, the remedies that Complainant seek do not lie within the Commission’s jurisdiction but with the courts. Therefore, Complainant’s Complaint should be dismissed for want of jurisdiction by the Commission.

IV. Respondent’s Complaint Should Be Dismissed Pursuant to 46 U.S.C. § 40502(f)

Complainant’s claim should be dismissed as it fails to assert a claim that involves elements peculiar to the Shipping Act.

Here, Complainant contends that Respondents have violated the Shipping Act by operating a Shipper’s Association on a for-profit basis by charging additional fees and management fees. They assert that these charges amount to “profits” thus disqualifying Respondents from being a qualified “Shippers Association.” The crux of Complainant’s claim is that it does not wish to pay any additional fees and wants the Commission to issue an order to enforce the terms of the service contract. It also requests that the Commission direct the Association to no longer assess any management fees or any additional fees on its members, and that the Association may not cancel Complainant’s membership or expel it from the Association.

The Commission, however, is not a common-law tribunal. Its jurisdiction is limited to enforcing the Shipping Act and remedying violations thereof. Pursuant to Section 8(c) of the Shipping Act (now 46 U.S.C. § 40502(f)) the Commission's jurisdiction does not extend to breach of contract issues or a breach of fiduciary duty. Here, Flame King's Complaint raises contract law defenses, but no colorable Shipping Act claims. Because Flame King's Complaint fails to establish or articulate facts that support that its Complaint is anything more than a breach of contract issue, and because the remedies that Complainant seek do not lie within the Commission's jurisdiction but with the courts, the Complaint should be dismissed for want of jurisdiction by the Commission.

V. The Complaint Should Be Dismissed Because It Hinges on Conclusory and Legally Inadequate Allegations of Piercing the Corporate Veil

A. The Violation Here Is Wholly Dependent on Veil-Piercing

The claim that the Association is being run for-profit is wholly dependent on a claim that the Commission should pierce the Association's corporate veil and combine it with Oberlander and Management, which allegations are conclusory and therefore insufficient. Further, the Complaint fails to meet the standard for alleging that a company is not run as a non-profit that is accepted in federal courts.

As noted, the *only* claim that is cognizable before the Commission is the charge that Respondents are not being run as a "non-profit" as required by statute. However, this charge, which is wholly dependent on corporate veil piercing, fails as matter of law.

Although the Association is a shippers' association subject to the requirements of the Shipping Act, Management and Oberlander are not, and there is no legal requirement for them to operate in a non-profit manner.

Complainants attempt to circumvent this legal reality with a single, conclusory allegation:

The Association is controlled and dominated by Management and Oberlander with a complete disregard for corporate form, such that

Management and Oberlander are alter egos of the Association and, in effect, the Association, Management and Oberlander should be treated collectively as one enterprise under the Act.

(Complaint, II.E at 3.) The Complaint then charges that the Association intends to charge “additional fees” above and beyond what is in the (alleged) contract; to use these fees to pay “substantial management fees;” and that these “additional fees imposed by the Association are compelling evidence of its distinctly ‘for-profit’ and opportunistic decision to deprive its Members of the benefits of the Service Contract during an acute market disruption caused by COVID-19.” (Complaint IV.B.61-63 at 14.)

The Complaint thus nowhere charges that the Association *itself* is being run as for-profit; rather it charges that Management and Oberlander are charging excessive fees to the Association, which in turn passes them along to the Members. Given that the Commission has no authority to determine whether this breaches any contract, the only issue that arguably could confer jurisdiction on the Commission is if the Association is acting as a for-profit entity. But this can only succeed if Flame King properly alleges a claim for veil-piercing. It does not, because its allegations (quoted above) are wholly conclusory and fail to meet the standard for federal veil-piercing.

Although ordinarily veil piercing is governed by the law of the state of incorporation, “[f]ederal common law, rather than state law, applies in cases where some federal interest is implicated by the decision whether to pierce the corporate veil.” *United States v. TDC Management Corp.*, 263 F.Supp.3d 257, 266 n. 8 (D.D.C. 2017). That applies here, as the Commission is charged with enforcing the Shipping Act, a federal law, not adjudicating state-law or common law claims.

To prevail on veil-piercing, a party must meet two tests: “(1) have the shareholder and the corporation failed to maintain separate identities? and (2) would adherence to the corporate

structure sanction a fraud, promote injustice, or lead to an evasion of legal obligations?” *Id.* at 267. The law is well established that at the pleading stage, a party must do more than make conclusory allegations or legal conclusions to proceed on such claims. “Conclusory allegations of ‘alter ego’ status are insufficient to state a claim. Rather, a plaintiff must allege specific facts supporting both of the necessary elements.” *Gerritsen v. Warner Bros. Ent. Inc.*, 116 F. Supp. 3d 1104, 1136 (C.D. Cal. 2015). Federal courts routinely reject complaints that contained merely conclusory allegations of veil piercing or alter-ego status. *See Id.* at 1142-46; *Kelleher v. Dream Catcher, L.L.C.*, 221 F. Supp. 3d 157, 159 (D.D.C. 2016) (“Threadbare recitals” of the elements of veil-piercing “do not suffice to establish a plausible claim of alter ego liability.”); *Rolls–Royce Corp. v. Heros, Inc.*, 576 F.Supp.2d 765, 789 (N.D.Tex.2008) (“Conclusory allegations of alter ego status will not survive a motion to dismiss.”); *In re Currency Conversion Fee Antitrust Litigation*, 265 F.Supp.2d 385, 426 (S.D.N.Y.2003) (“These purely conclusory allegations cannot suffice to state a claim based on veil-piercing or alter-ego liability, even under the liberal notice pleading standard.”).

Here, the allegations of veil-piercing in the Complaint are limited to a single, conclusory sentence quoted above. Such threadbare assertions lacking specific factual allegations are insufficient and must be rejected.

B. The Complaint’s “For Profit” Allegations Fail to Establish that the Association Violated the Shipping Act

The Shipping Act requires shippers’ associations to operate “on a nonprofit basis for the members of the group.” 46 U.S.C. § 40102 (24). The term “non-profit” is, however, nowhere defined in the Shipping Act. When faced with such an issue, many federal courts follow a leading case from the First Circuit, holding that a “profit” corporation is an organization that is run to distribute dividends to its shareholders:

Where Congress left “nonprofit” undefined in an exclusion from another statutory scheme, we concluded that “nonprofit” status depended primarily on proof that the

entity did “not distribute profits to stockholders or others.” *See Town of Brookline v. Gorsuch*, 667 F.2d 215, 221 (1st Cir.1981). This is consistent with the standard definition of the term: a nonprofit corporation is “a corporation organized for some purpose other than making a profit.” Black's Law Dictionary at 367 (8th ed.1999); *see also* Bruce Hopkins, *The Law of Tax-Exempt Organizations* 5 (8th ed. 2003) (A “nonprofit organization ... is not permitted to distribute its profits ... to those who control it....”). Here, we apply the standard definition.

Zimmerman v. Cambridge Credit Counseling Corp., 409 F.3d 473, 478 (1st Cir. 2005).

The Complaint fails to meet (or even allege) this standard. Nowhere does it claim that the Association is being run to distribute profits to shareholders or others (indeed the Association has no shareholders). Rather, what is alleged is that the Association is paying high management fees to Management, presumably at the direction of Oberlander, and then passing on those fees to the members. (Complaint IV.B.61-63 at 14). Indeed, it is not even charged that these “additional” fees are excessive or unjustified, merely that they are “additional.”

But even if these charges were alleged to be excessive or improper, that does not establish that the Association is being run “for profit.” At most, these allegations *might* raise a claim of self-dealing, and hence breach of fiduciary duty against Oberlander under Delaware law, the Association’s state of incorporation. *See, generally, eBay Domestic Holdings, Inc. v. Newmark*, 16 A.3d 1, 38 (Del. Ch. 2010) (discussing self-dealing transaction by a fiduciary which are subject to “entire fairness review.”) Flame King made such a charge against Oberlander in the second count of the district court case, but it has not done so here, nor could it do so. (*See* Motion Exh. 1, Fourth Count).

Such claims simply are not cognizable before the Commission. Even if Oberlander breached fiduciary duties to the members, that does not establish that the Association is being run “for profit” nor that the Shipping Act has been violated.

VI. The Complaint Fails to Allege a Claim for Reparations

The Complaint seeks a host of equitable remedies, and then seeks “reparations.” (Complaint IV.G at 20). The Shipping Act provides that a private “complainant may seek reparations for an injury to the complainant caused by the violation” of the Act. 46 U.S.C. § 41301. The Shipping Act does not define “reparations,” but that term is ordinarily construed as “compensation for an injury or wrong.” *See In re Agent Orange Prod. Liab. Litig.*, 373 F. Supp. 2d 7, 48 (E.D.N.Y. 2005) (*quoting* Black's Law Dictionary at 1325 (8th ed. 2004)). In other words, reparations are compensatory awards for past damages.

Nowhere in the Complaint, however, does Flame King allege that it ever paid excess fees. It merely alleges that it was given email notices of various fees (Complaint IV.B. 34-44 at 9-11) and that the Association sent several invoices reflecting these fees. (Complaint IV.B. 48-50, 53 at 12.) Receiving invoices for allegedly excessive or improper fees is not addressable by reparations because Complainant has paid nothing that needs to be returned.

Accordingly, Complainant's claim for reparations fails to state a claim and should be dismissed.

VII. The Complaint's Prayers for Equitable Relief Are Not Authorized by The Shipping Act, Complainant Lacks Standing to Seek Such Relief, and In Any Event Such Relief Is Inconsistent With The Shipping Act

Apart from reparations, the Complaint seeks a laundry list of equitable relief that would require the Commission to continually manage the Association's affairs. (*See* Complaint at 19-20). Flame King requests that, during the course of a Commission investigation, the \$55 fee remain frozen in place, that the Association be barred from charging “additional fees,” that the Association may not charge more than \$55, that the invoices in excess of this amount be cancelled, and that the Association may not cancel Flame King's membership or expel it “for its objection to

the additional fees or for any failure to pay the additional fees.” *Id.* These requests are improper and should be dismissed for several reasons.

A. The Commission Lacks General Equitable Powers

The Shipping Act grants the Commission the power to order reparations. 46 U.S.C. § 41301. The Commission also has the authority to issue “cease and desist orders commanding regulated entities not to engage in proscribed behavior.” *Brewer v. Maralan*, 2001 WL 122035, *5 (F.M.C. 2001). Beyond that, however, the Commission lacks general equitable authority to order whatever remedies it feels appropriate. *See Id.* at 5, 8 (Merck, Commr., concurring in relevant part)(“Neither the Shipping Act nor the Commission’s rules grant authority to order such equitable relief.”). Rather, a party seeking equitable relief must file an action in an appropriate federal district court. 46 U.S.C. § 41306. The Shipping Act does not grant the Commission the authority to issue such wide-ranging equitable relief.

B. Flame King Lacks Standing to Seek Ongoing Equitable Relief

The apparent purpose of the equitable relief sought by Flame King is to force the Association to continue providing its services at \$55, with no additional fees, on an ongoing basis. But such a remedy would not avail Flame King, because, as its Complaint admits, it has been expelled from membership for a reason unconnected with the additional fees.

On February 18, 2021, the Association notified Flame King by email as follows: “Your membership in U Shippers Group, Inc. is terminated due to your excessive and disproportionate bookings.” The Association terminated Flame King’s membership on the basis that Flame King had booked too many containers under the Service Contract with Maersk.

(Complaint IV.B.55 at 12-13.) Terminating Flame King for that reason has nothing to do with the claim that the Association is not running on a non-profit basis, and certainly does not violate the Shipping Act. Indeed, Flame King tacitly admits this in its prayer for equitable relief, where it requests an order that the Association may not cancel Flame King’s membership or expel

it “for its objection to the additional fees or for any failure to pay the additional fees,” which recognizes that Flame King may be expelled for other reasons.

Flame King’s membership has been terminated, and it will in no way benefit from the equitable relief it now seeks. It accordingly lacks standing to seek this relief.

C. The Equitable Relief Requested by Flame King Conflicts with Long-Standing Policy That Shippers’ Associations Are to Be Minimally Regulated

Finally, Flame King’s prayer for extensive equitable relief conflicts with the long-standing policy of Congress and the Commission that shippers’ associations are to be left unregulated. It is the long-standing policy of the Commission that “shippers' associations should generally be allowed to operate with a minimum of governmental intervention.” *Matter of Petition for Rulemaking on Shippers' Associations*, 22 S.R.R. 1624, 1628 (1984). The Commission's decision not to regulate shippers' association is grounded not only in Congressional intent as expressed in the Shipping Act and its legislative history, but also sound policy. *See Status of Shippers’ Associations Under the 1984 Act*, 22 S.R.R. 1629, 1635 (1984).

The equitable relief requested by Flame King would require the Commission to micro-manage the Association’s operations and fees. For example, Flame King asks the Commission to order that “[t]he Association may not charge any fees in excess of the \$55 per container contracted fee.” Flame King is requesting that the Commission enforce what Flame King claims to be the contract between Flame King and the Association, but as shown above, the Commission does not get involved in parties’ contractual disputes. If not for that contractual claim, which is already being adjudicated by the United States District Court for the Eastern District of New York, the Commission does not independently require that such fees be set at \$55 per container, and there are many reasons why the fees would be raised including, but not limited to, establishing reserves in the event contractual minimum orders with shipping companies are not met, changes in market

conditions, increased costs to the Association, or new and different services offered to the Members. According to Flame King, the Association would be required to petition the Commission for permission to raise its fees each time it so desired and submit a detailed justification for the request. Such ongoing micromanagement of a shippers' association's operations is simply not contemplated by the Shipping Act nor the policy of the Commission.

VIII. Conclusion

Flame King has failed to plead a cognizable claim against Respondents and instead constitutes an improper attempt to adjudicate a breach of contract claim already being adjudicated in federal court before the Commission. For the reasons set forth above, the Complaint should be dismissed with prejudice.

Dated: May 6, 2021
New York, New York

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EXHIBIT 1

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UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

YSN IMPORTS, INC. and
ASHTED HOLDINGS INC.,

Plaintiffs,

-against-

FEIGE “PEGGY” OBERLANDER,
U SHIPPERS GROUP, INC., U SHIPPERS GROUP
MANAGEMENT CO., INC. and GREEN NORTH
AMERICA, INC.

Defendants.

Index No. 20 cv 5981

SECOND AMENDED
COMPLAINT

Plaintiffs YSN Imports, Inc. (“YSN”) and Ashtead Holdings Inc. (“Ashtead” and together with YSN each a “Plaintiff” and collectively the “Plaintiffs”), by their attorneys, Grushko & Mittman, P.C., as and for their complaint against Feige “Peggy” Oberlander (“Oberlander”), U Shippers Group, Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”), and Green North America, Inc. (“Green” and together with Oberlander, the Association, and Green each a “Defendant” and collectively the “Defendants), respectfully allege as follows:

PARTIES

1. Plaintiff YSN Imports, Inc. is a corporation formed under the laws of the State of Nevada with its principal office in California.
2. Plaintiff Ashtead Holdings Inc. is a corporation formed under the laws of the State of California with its principal office in Florida.

3. Upon information and belief, Feige “Peggy” Oberlander is a natural person with a domicile in Kings County, New York.

4. Upon information and belief, U Shippers Group, Inc. is a Delaware entity with its principal place of business in Kings County, New York.

5. Upon information and belief, U Shippers Group Management Co., Inc. is a New York entity with its principal place of business in Kings County, New York.

6. Upon information and belief, Green North America, Inc. is a New York entity with its principal place of business in Kings County, New York.

JURISDICTION AND VENUE

7. Jurisdiction is based on 28 USC §1332 in that the amount in controversy exceeds the sum or value of \$75,000, exclusive of interest and costs, and is between citizens of a state and citizens or subjects of a different state or foreign state.

8. Venue is proper in this district because the Defendants are domiciled in this District.

FACTUAL ALLEGATIONS

9. Upon information and belief, on or about January 28, 2020, Oberlander formed Management and on or about January 29, 2020, Oberlander formed the Association.

10. As a Delaware non-stock corporation, the Association is an entity formed for the benefit of its members.

11. Oberlander is the sole principal of Management.

12. Upon information and belief, Oberlander is the sole equity holder of Management.

13. Upon information and belief, Oberlander formed Association to be a Delaware non-stock corporation to engage in obtaining bulk shipping contracts with major shipping companies (e.g. Maersk and One) on behalf of the members of Association.

14. The Association was designed to be a “shippers’ association” as defined under the Shipping Act of 1984, as amended, (“the Act”).

15. In order to qualify as a shippers’ association under the Act, the Association is required to be a nonprofit entity.

16. Shippers Associations are formed to acquire favorable booking rates with overseas carriers by pooling their freight volume together. They obtain such rates by entering into contracts with carriers which include a minimum amount that will shipped in exchange for a locked in lower rate.

17. It is an essential element of such agreements with the carriers that the shippers’ association guaranty to the carrier a certain quantity of cargo to be shipped and are many times subject to liquidated damages of per container below the guaranteed not shipped.

18. Shippers’ association usually poll their members to get an estimate of how many containers they will ship so the association will be able to enter into an agreement with the carriers.

19. Oberlander formed Management to be her management company to manage the affairs of Association as directed by her, the sole director of the Association.

20. As the sole principal and owner of Management, Oberlander directly benefited from every charge Management charged to the Association.

21. Additionally, as the sole principal and owner of Management and sole director of the Association, no agreement between Management and the Association was an arms-length transaction. Every agreement entered into by the Association with Management, Oberlander had a direct personal interest. The more Management charged the Association, the more Oberlander would benefit from the Association.

22. Management's responsibility was to oversee the Association's contract with the freight ocean carriers and interface with the Association's members. It was expected that Management would need to have regular emails, phone calls, and other communications with the carriers and the Association's members.

23. Management would invoice the Association for its services.

24. The Association would pay for the service with the revenue generated from the fees it charged its Members.

25. In early 2020, the world began becoming aware of a new virus spreading out of China, Covid-19.

26. On February 3, 2020, the United States declared a health emergency regarding Covid-19.

27. In early February 2020, Oberlander was introduced to Shmuel (Sam) Newman ("Newman"), one of the principals of YSN.

28. On February 13, 2020, Oberlander sent an email to Newman containing information about the Association's services. The information contained a representation that the Association will only charge a \$55 fee per container which is built into the fee paid to the shipping company and remitted to the Association by the shipping company. The material about the Association also represented that no other fees would be charged.

29. On February 19, 2020, Oberlander again emailed Newman an application asking for YSN's shipping numbers, saying she needs YSN's shipping numbers to show shipping strength to negotiate rates with shipping lines.

30. Newman replied by email with the executed application which stated that YSN estimated it would be looking for minimum of 750 containers.

31. Oberlander responded acknowledging receipt of the application. On February 24, Newman emailed Oberlander “a heads up.... it seems that rates are coming down because of the Corona-virus.” Oberlander replied asking Newman if he could make referrals to her business.

32. On March 7, 2020, Governor Andrew Cuomo declares a state of emergency in New York related to Covid-19.

33. On March 13, 2020, President Donald Trump declares Covid-19 a national emergency.

34. On March 19, 2020, California declared a statewide stay at home order.

35. On March 22, 2020, the New York Pause Program began and all non-essential workers in New York were required to stay home. By this point New York State had also closed, bars, restaurants, schools, etc.

36. As a result of the shutdowns in United States and other countries, global economic activity was greatly reduced from April to July 2020.

37. In response to this reduced activity, major shipping lines had significantly less business and reduced their capacity accordingly.

38. After the February 25 email, the next time YSN heard from the Defendants was on May 20, 2020, when Oberlander called Newman requesting YSN provide zip codes YSN is shipping to so she can obtain shipping rates and present a big package to the carriers when negotiating prices. YSN provided such information via email.

39. On June 10, 2020, Oberlander emailed Newman that “We are in the final stages of launching our association. Please stand by.”

40. Beginning in July 2020, as economic activity ramped back up, shipping from China increased causing shortages in available space on the reduced capacity on the major shipping lines.

41. Sometime in late June or early July the Association and Maersk Lines (“Maersk”) entered into a Service Contract No. 298299458 (the “Service Contract”).

42. An underlying condition to the Service Contract was that the Association is a “shippers association” as defined in the Act.

43. The Service Contract stated Maersk would charge \$2,500 per FEU delivered in Los Angeles. The rates would vary based on the delivery location in the United States.

44. The Association relied upon the expected shipments from YSN in entering into the Service Contract.

45. Pursuant to the Service Contract, the Association guaranteed Maersk that it would ship at least 8,000 forty-foot equivalent unit (“FEU(s)”). Thus, the Association anticipated generating at least \$440,000 in fees from Maersk alone.

46. In order to process shipping or FEU by the Association’s members, Maersk would provide a login for such members on its Twill.net system (“Twill”). The Members would then be able to log into Twill and book shipments under the Service Contract.

47. Maersk handled all the onboarding of the Members into Twill.

48. Maersk handled all the customer service for Twill issues.

49. The Association and Management had no to minimal contact with the members, related to the training, usage and customer service of the Twill system.

50. In fact, the Association had no involvement with the booking and priority of shipments made under the Service Contract.

51. On July 14, 2020 Oberlander emailed to Newman the membership enrollment agreement to become a Member of the Association.

52. The membership enrollment agreement sets forth that there is only a \$55 per container charge and specifically stated “no further amounts will be charged to the Member”.

53. On July 15, 2020, Newman executed the application and sent it back via email.

54. On July 20, Oberlander emailed Maersk that YSN was a member of the Association and should be added to the Maersk system.

55. On or about July 23, 2020, Newman introduced Dov Coleman (“D. Coleman), one of the principals of Ashtead to Oberlander via email.

56. On or about July 27, 2020, Oberlander sent the sales brochures and signup forms to D. Coleman.

57. Oberlander stated that “all our booking requests are in a very high status desk and will **always** be accepted regardless of the open market situation” (emphasis in the original).

58. On or about July 28 or 29, 2020 Oberlander and D. Coleman had a phone call to discuss the Association’s program.

59. The discussion pertained to shipping volumes as well as how many FEUs the contracts with the shippers allowed for.

60. Oberlander verbally confirmed to D. Coleman that there would be a \$55 per container fee and no other fees would apply for using the Association’s service.

61. They also discussed the details of the logistics for making bookings via the twill.net website.

62. On July 29, 2020 D. Coleman, via email, introduced Oberlander to Katherine Lee (“Lee”) who handles Ashtead’s import shipping.

63. On July 30, 2020, Oberlander emailed Lee asking if she needs any help and reiterating "Please note our bookings are on a very high status desk and will never be rejected."

64. On July 31, 2020, Lee sent via email the completed and signed application on behalf of Ashtead.

65. That same day, Oberlander sent an email to Maersk regarding Ashtead stating “Please add the following client as an additional party to our contract.”

66. At no time did any Defendant present to either Plaintiff any document or agreement that stated or implied the Association could add additional fees at its own discretion.

67. Additionally, at no time did the Association ever provide the Plaintiffs with any limitation on the number of FEUs that could be shipped.

68. By this time, late July - early August, space in the shipping industry was tightening and the parties were aware that there may be availability issues in the future.

69. On August 10, 2020, less than a month after the Plaintiff joined the Association, Oberlander emailed members reiterating that “As the association director, I am here to support your bests interest.” She further informed them that even though there are roll overs¹ of containers happening in the industry, “[i]f you need help protecting your cargo, please send us an email and will work on protecting your space.”

70. August 12, 2020, two days after sending an email about roll overs in the shipping industry, Oberlander emailed YSN asking YSN to increase the amount of container bookings they were placing through Association contracts. In response to Oberlander’s request and in reliance on the Membership Agreement’s stated price, YSN proceeded to switch over the bulk of their container bookings to go through the Association.

71. On September 13, 2020 certain orders YSN placed with Maersk were cancelled. In response to an inquiry from YSN, on September 14, 2020, Oberlander emailed YSN that the

¹ A roll over is when a shipping company holds a container in port. Many times, this is because of a lack of space on the vessel and the container will be “rolled over” to the next available ship.

Association opened the portal to too many users and had went over its allocation with Maersk. Maersk would only be honoring the quantity of containers committed to in the agreement and not more and the Association would “set a plan for a certain amount of committed containers per week per association member, so [the Members can] share [the Association’s] space equally” – this was never done.

72. At this point, September 2020, the major shipping companies responded to the shortage of space by strictly enforcing all contracted for spaces allocated on their ships and greatly increasing prices for unallocated, if any, space.

73. Therefore, by October of 2020, even if the Plaintiffs were to try and secure space on other shipping lines, they would likely not be able to get space at all and any limited available space would be at drastically inflated prices.

74. On October 27, 2020, Oberlander sent YSN an email saying she wanted to handle YSN’s customs clearance for incoming containers.

75. YSN replied that they will consider it if the pricing is comparable to what they were paying to other service providers.

76. October 28, 2020, a phone call between Newman and Oberlander took place during which Oberlander threatened to throw YSN out of the Association unless YSN allowed Oberlander to handle the customs clearance. She also said she wanted to charge an extra \$100 to \$150 per container for a management fee. Newman told her that this is was breach of the current agreement and is rejected.

77. Oberlander also requested that Ashtead switch to using her custom clearing services.

78. At this point the non-contract rate for shipping with Maersk was significantly higher than the Service Contract rate.

79. On November 9, 2020, Oberlander emailed the Members that they will need to pay an extra \$1000 per container in order to get a “sea priority feature via Maersk” to secure booking.

80. Based on the fact, that the Association had no involvement with the booking process and no ability to change the priority of any shipment, Ashtead reasonably believed this service was being provided by Maersk, the only entity with the power to provide priority shipping.

81. In response to Oberlander’s November 9 email, Lee (of Ashtead) made a request to utilize the “sea priority feature via Maersk.”

82. Oberlander responded that Lee notify Oberlander so Oberlander can create a priority tag. Lee emailed Maersk/Twill asking them how to create the new booking with this priority feature.

83. Paul Wills from Maersk responded to Lee “I do not know of this surcharge. We will apply your contract rates for all shipments within the United Shippers Association weekly allocation.”

84. Oberlander sent an email only to Lee leaving all others off the email chain stating that “[t]his is a service provided by United Shippers and not supported by our platform host Twill. We have already taken appropriate action to mark this shipment “HOT”.

85. After learning these fees were not from Maersk, as previously indicated by Oberlander, on November 17, 2020 representatives of Ashtead called Oberlander to object to the fees.

86. Oberlander responded that she will have her lawyer respond to all Ashtead's questions as she did not want to say the wrong thing. No follow up from her lawyer was forthcoming.

87. On November 30, 2020, the Association, through Green, sent Ashtead an Invoice in the amount of \$15,000 for the fraudulent "sea priority feature via Maersk."

88. In fact, the "sea priority feature via Maersk" was fraudulent charge.

89. The Association never provided, nor did it intend to provide any additional services for the "sea priority feature via Maersk."

90. In fact, because the Association had no involvement in the booking of any shipments it could not have provided any services.

91. The fact the Association attempted to hide the fees and communications from Maersk, shows that no additional services were even contemplated.

92. After the November 9, 2020 email, Newman (of YSN) spoke with a high-ranking representative at Maersk and Maersk confirmed that they have not changed their agreement with the Association and this fee was not from them. He further said that there is a freeze on any new contracts or changes to existing contracts. Any new rates would have to be filed with the Federal Maritime Commission and that was not going to happen until well into next year, 2021, when the congestion is supposed to end.

93. At this point the non-contract rate for shipping with Maersk was approximately \$5,000 per FEU delivered to Los Angeles, significantly higher than the Service Contract rate.

94. As a result of this disparity, the Members of the Association were receiving a substantial benefit from the lower price.

95. As a not-for-profit entity, the Association had no basis to charge any fee from the Members to realize a profit from this price difference.

96. Further, the Association had no additional expenses related to the Service Contract that was already covered by the \$440,000 in fees it was being paid.

97. On November 16, 2020, Oberlander emailed the members of the Association that they will need to pay an extra management fee of \$1200 per FEU starting December 1, 2020 if they want to continue shipping with Maersk. In this email she requested that the Members sign an amendment to the application form to change the agreed upon fees (showing that contractually, the Association had no basis to charge these fees and that such fees were a violation of its existing contracts with its Members).

98. Even if only 4,000 FEUs, (half the amount contracted for under the Service Contract) are pay the “management fees,” the Association will receive an additional \$4,800,000 in fees – money that rightfully belongs to the Association’s members.

99. No basis was given for these fees.

100. Newman again spoke with Maersk and confirmed that this fee was not coming from them.

101. On November 20, YSN, through counsel, wrote to the Defendants demanding they honor the contracts that were executed.

102. On November 23, the Defendants, through counsel, replied to the November 20 letter, reiterating the Defendants’ position that they could charge these “management fees” under the Association’s bylaws.

103. On November 24, YSN’s counsel replied to Defendants’ counsel demanding they honor the contracts that were executed.

104. On November 24, 2020, Newman again spoke with Maersk, who confirmed that they were offering spot rates and not signing any new contracts for at least another 2-4 months.

105. Maersk stated they are strictly holding everyone to their allocation, and companies that are not using their contractual allocation, they are taking that allocation away from them. This means that unless Association members are able to utilize the Association's agreement with Maersk they will not be able to ship with Maersk.

106. November 25, 2020 Oberlander sent another email reminding Association members to sign and agree to the new 'agreement' she sent out with the higher "management fees".

107. On November 25, 2020, counsel for the Defendants' emailed counsel for YSN in which he suggested YSN execute the new agreement while reserving its rights. If YSN did that the Association would not reduce YSN's allocation. He then said that if YSN does not pay the fees, YSN's Membership in the Association will be terminated for cause.

108. Lee also replied to the November 25, 2020 email objecting to any new fees not being charged by Maersk. In response to Lee's email Oberlander claimed, with no proof, that she incurred additional expenses to justify this new exorbitant fee.

109. In response for repeated demands from the Plaintiffs and counsel for the Plaintiffs for copies of whatever document would justify the additional fees, on November 30, 2020, counsel for the Defendants sent what the Defendants purport to be the bylaws of the Association to justify the new fees.

110. The bylaws are silent on many issues related to the timing of any fees. They do not require the Association to charge any fees. The bylaws also don't say that the Association can change terms it had previously contractually agreed to.

111. The scheme to charge additional “management fees” is a blatant attempt by the Defendants to steal for themselves from the Plaintiffs and other members of the Association, the benefit of the lower prices in the Service Contract.

112. In addition to wrongfully stealing from the Members, the scheme to charge “management fees” has likely caused the Association to cease to be a non-profit entity, thereby causing the Association to cease to be a “shipper” and rendering the Service Contract illegal. Thus nullifying the entire purpose of the Association and thereby damaging its members.

113. The scheme to charge additional “management fees” is a blatant attempt to extort the Plaintiffs’ current inability to obtain shipping from another source.

114. YSN continued booking shipping via Maersk in accordance with its previous practice.

115. On December 3, 2020, Green, on behalf of Management and the Association, sent YSN two invoices aggregating to \$18,600 in “management fees” for shipments YSN has booked on Maersk but not yet shipped.

116. On December 7, 2020, Green, on behalf of Management and the Association, sent YSN another invoice for \$48,000 in “management fees” for shipments YSN has booked on Maersk but not yet shipped.

117. Ashtead continued booking shipping via Maersk in accordance with its previous practice.

118. The Plaintiffs commenced this Action on December 9, 2020 with the filing of the Complaint.

119. The Plaintiffs also made an application to this Court for a preliminary injunction, to stop the Association from terminating their membership while this case was proceeding.

120. In response to such application, on December 11, 2020, the Defendants filed an affidavit by Oberlander, that for the first time raised the issue of the Plaintiffs alleged overuse of their allocation of the Service Contract.

121. During the telephonic hearing the Court held on December 11, 2020, counsel for the Defendants admitted certain essential facts including:

- a. the Twill system “eliminates the overseas ocean intermediary function by freeing the shippers to deal directly with the ocean common carrier.”
- b. that agreements between the parties “is in the nature of a binding agreement.”
- c. The management fee was to take advantage of “the sweetheart deal [the Plaintiffs were getting from the Service Contract] because even with this \$1,200 additional fee, they’re still making much more money by using the shippers association than they would.” Whether the Plaintiffs are getting a “sweetheart deal” is completely irrelevant to the Defendants costs.
- d. That they “can’t say that [there is] a written contract [governing the allocation].
- e. That allocations claimed in Oberlander December 11, 2020 affidavit are not [being] represent[ed as]... immutable allocation numbers. Yes, they are subject to change.”

122. Even after the hearing held by the Court, the Association never provided Plaintiffs with any allocation for use of the Service Contract.

123. Despite (i) admitting there was no written contract setting for the allocations; (ii) admitting the allocation and usage are fluid; and (iii) never stating what their allocation was, on February 18, 2021, the Association informed the Plaintiffs that “their membership in U Shippers Group, Inc. is terminated due to [their] excessive and disproportionate bookings.”

124. Thereafter the Association informed Maersk of the termination and the Plaintiffs were removed from the Twill system.

125. As a result of the tightening in the shipping industry, since Defendants enticed Plaintiffs to ship with them and to increase their shipping with them, Plaintiffs do not have the ability to go back now and get bookings with their prior contracts since they effectively switched almost all their shipping to the Association.

126. Since being terminated from the Association, the Plaintiffs have been forced to get what little shipping space there was available from other sources and pay significantly higher prices for such space.

AS AND FOR A FIRST CAUSE OF ACTION
(Breach of Contract/Injunction - Association)

127. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 126 as if fully set forth herein.

128. The Association entered into contracts with the Plaintiffs to arrange shipping with Maersk for only \$55 per container charge and specifically stated “no further amounts will be charged to the Member.”

129. No amount was designated as the Plaintiffs allocation of usage for the Service Contract.

130. The Association breached the contracts with the Plaintiffs by terminating their membership in the Association without a valid reason.

131. Demand is hereby made that the Court enter judgment against the Association in favor of the Plaintiffs enjoining the Association to readmit the Plaintiffs as members on the same terms as prior to the wrongful termination.

AS AND FOR A SECOND CAUSE OF ACTION
(Breach of Contract/Damages - Association)

132. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 131 as if fully set forth herein.

133. The Association entered into contracts with the Plaintiffs to arrange shipping with Maersk for only \$55 per container charge and specifically stated “no further amounts will be charged to the Member.”

134. No amount was designated as the Plaintiffs allocation of usage for the Service Contract.

135. The Association breached the contracts with the Plaintiffs by terminating their membership in the Association without a valid reason.

136. As a result thereof the Plaintiffs have missed shipments and been forced to obtain limited shipping from other sources at higher prices.

137. Demand is hereby made that the Court enter judgment against the Association in favor of the Plaintiffs in an amount to be determined for damages caused by the Association’s breach of its agreement with the Plaintiffs.

AS AND FOR A THIRD CAUSE OF ACTION
(Breach of Contract/Injunction - Association)

138. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 137 as if fully set forth herein.

139. The Association entered into contracts with the Plaintiffs to arrange shipping with Maersk for only \$55 per container charge and specifically stated “no further amounts will be charged to the Member.”

140. The Association is seeking to charge additional fees in excess of the contracted price.

141. As set forth above, the Association has caused invoices to be sent out seeking payment of such fees.

142. Demand is hereby made that the Court enter judgment against the Association in favor of the Plaintiffs declaring that the Association may not charge any fees in excess of the \$55 per container contracted fee and that the invoices are null and void.

AS AND FOR A FOURTH CAUSE OF ACTION
(Breach of Fiduciary Duty - Oberlander)

143. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 142 as if fully set forth herein.

144. As the director of the Association, Oberlander owes a duty to the Association and its members.

145. By seeking to charge fees in excess of the contracted amounts and expenses of the Association, Oberlander is seeking to enrich herself at the expense of the Plaintiffs and other members of the Association.

146. Demand is hereby made that the Court enter judgment against Oberlander in favor of the Plaintiffs in an amount to be determined for damages caused by Oberlander's breach of her duties.

AS AND FOR A FIFTH CAUSE OF ACTION
(Aiding and Abetting Oberlander's Breach of Fiduciary Duty – Green and Management)

147. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 146 as if fully set forth herein.

148. As set forth above Oberlander breached her duty to the Association and its members.

149. Management and Green are aware of the obligation and are assisting this breach by generating the bogus expenses to charge the Association and then pay to Oberlander.

150. Demand is hereby made that the Court enter judgment against Green and Management in favor of the Plaintiffs in an amount to be determined for such tortious actions.

AS AND FOR A SIXTH CAUSE OF ACTION
(Tortious Interference – Green, Management and Oberlander)

151. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 150 as if fully set forth herein.

152. The Association entered into contracts with the Plaintiffs to arrange shipping with Maersk for only a \$55 charge per container and specifically stated “no further amounts will be charged to the Member.”

153. Green, Management and Oberlander are seeking to cause the Association to charge additional fees in excess of the contracted price, for their own benefit.

154. Green, Management and Oberlander have caused invoices to be sent out seeking payment of such fees.

155. Green, Management and Oberlander are aware of the contracts between the Plaintiffs and the Association and are purposely interfering in such contracts.

156. Demand is hereby made that the Court enter judgment against Green, Management and Oberlander in favor of the Plaintiffs in an amount to be determined for such tortious actions.

AS AND FOR A SEVENTH CAUSE OF ACTION
(Fraud – All Defendants as to Ashtead)

157. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 156 as if fully set forth herein.

158. On November 9, 2020, Oberlander emailed the Members that they will need to pay an extra \$1000 per container in order to get a “sea priority feature via Maersk” to secure booking.

159. Based on the fact, that the Association had no involvement with the booking process and no ability to change the priority of any shipment, Ashtead reasonably believed this service was being provided by Maersk, the only entity with the power to provide priority shipping.

160. As Maersk and the Defendants admitted such statement was false and the fee is not being charged by Maersk but rather by the Defendants.

161. In reliance on such statement that Maersk was charging the fee (prior to being made aware of the falsity) Ashtead agreed to pay such fees.

162. Defendants are now charging Ashtead \$15,000 for such fees.

163. Demand is hereby made that the Court enter judgment against the Defendants in favor of Ashtead declaring that the Ashtead is not liable for the \$15,000 in priority fees.

164. Demand is hereby made that the Court enter judgment against the Defendants in favor of Ashtead in an amount to be determined for any amounts paid for such priority fees.

AS AND FOR A EIGHTH CAUSE OF ACTION
(Breach of Contract – Association as to Ashtead)

165. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 164 as if fully set forth herein.

166. On November 9, 2020, Oberlander emailed the Members that they will need to pay an extra \$1000 per container in order to get a “sea priority feature via Maersk” to secure booking.

167. Based on the fact, that the Association had no involvement with the booking process and no ability to change the priority of any shipment, Ashtead reasonably believed this service was being provided by Maersk, the only entity with the power to provide priority shipping.

168. As Maersk and the Defendants admitted such statement was false and the fee is not being charged by Maersk but rather by the Defendants.

169. In reliance on such statement that Maersk was charging the fee (prior to being made aware of the falsity) Ashtead agreed to pay such fees.

170. Defendants are now charging Ashtead \$15,000 for such fees.

171. Assuming such fees were valid and a binding contract was reached, no services were provided for such fees in breach of any such agreement.

172. Demand is hereby made that the Court enter judgment against the Defendants in favor of Ashtead declaring that the Ashtead is not liable for the \$15,000 in priority fees.

AS AND FOR A NINTH CAUSE OF ACTION
(Promissory Estoppel/Injunction – Association)

173. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 172 as if fully set forth herein.

174. The Association promised the Plaintiffs to arrange shipping with Maersk for only \$55 per container charge and specifically stated “no further amounts will be charged to the Member.”

175. No amount was designated as the Plaintiffs allocation of usage for the Service Contract.

176. The Association even informed the Plaintiffs that they would have sufficient volume for their shipping needs.

177. In fact Oberlander even emailed YSN asking YSN to increase the amount of container bookings they were placing through Association contracts.

178. No allocation limits were ever made by the Association.

179. In reliance on the Membership Agreement's stated price, the assurances as volume availability, the Plaintiffs switched the bulk of their container bookings to go through the Association.

180. The Association later terminated the Plaintiffs on the specious claim that they overused their allocation.

181. Demand is hereby made that the Court enter judgment against the Association in favor of the Plaintiffs enjoining the Association to readmit the Plaintiffs as members on the same terms as prior to the wrongful termination.

AS AND FOR A TENTH CAUSE OF ACTION
(Promissory Estoppel/Damages – Association)

182. The Plaintiff repeats and re-alleges the allegations of Paragraphs 1 through 181 as if fully set forth herein.

183. The Association promised the Plaintiffs to arrange shipping with Maersk for only \$55 per container charge and specifically stated "no further amounts will be charged to the Member."

184. No amount was designated as the Plaintiffs allocation of usage for the Service Contract.

185. The Association even informed the Plaintiffs that they would have sufficient volume for their shipping needs.

186. In fact Oberlander even emailed YSN asking YSN to increase the amount of container bookings they were placing through Association contracts.

187. No allocation limits were ever made by the Association.

188. In reliance on the Membership Agreement's stated price, the assurances as volume availability, the Plaintiffs switched the bulk of their container bookings to go through the Association.

189. The Association later terminated the Plaintiffs on the specious claim that they overused their allocation.

190. Demand is hereby made that the Court enter judgment against the Association in favor of the Plaintiffs in an amount to be determined for damages caused by the Association's breach of its promises to the Plaintiffs.

WHEREFORE, Plaintiffs, demand judgment against the Defendants as follows:

- (a) That Court enter judgment against the Association in favor of the Plaintiffs enjoining the Association to readmit the Plaintiffs as members on the same terms as prior to the wrongful termination.
- (b) that the Court enter judgment against the Defendants in favor of the Plaintiffs in an amount to be determined for the damages caused by the wrongful termination.
- (c) that the Court enter judgment against the Association in favor of the Plaintiffs declaring that the Association may not charge any fees in excess of the \$55 per container contracted fee and that the invoices are null and void;
- (d) that the Court enter judgment against the Association in favor of the Plaintiffs in an amount to be determined for any amounts paid for fees charged in breach of the contract;

- (e) that the Court enter judgment against the Oberlander in favor of the Plaintiffs in an amount to be determined for damages caused by Oberlander's breach of her duties;
- (f) that the Court enter judgment against Green and Management in favor of the Plaintiffs in an amount to be determined for their tortious actions in aiding and abetting Oberlander's breach of here fiduciary duties;
- (g) that the Court enter judgment against Green, Management and Oberlander in favor of the Plaintiffs in an amount to be determined for their tortious actions for interfering with the Association's contracts with the Plaintiffs;
- (h) that the Court enter judgment against the Defendants in favor of Ashtead declaring that the Ashtead is not liable for the \$15,000 in priority fees;
- (i) that the Court enter judgment against the Defendants in favor of Ashtead in an amount to be determined for any amounts paid for such priority fees;
- (j) that the Court enter judgment against the Defendants in favor of Plaintiffs in an amount to be determined for their tortious actions; and
- (k) For such other relief as this Court may determine as fair and just.

Valley Stream, New York
Dated: April 29, 2021

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EXHIBIT 2

UNITED STATES DISTRICT COURT
EASTERN DISTRICT OF NEW YORK

-----X

YSN IMPORTS INC., ASHTEAD HOLDINGS INC.,

Plaintiffs,

-against-

MEMORANDUM & ORDER

20-CV-5981 (DG) (LB)

FEIGE OBERLANDER, U SHIPPERS GROUP INC., U
SHIPPERS GROUP MANAGEMENT, INC., and
GREEN NORTH AMERICA, INC.,

Defendants.

-----X

DIANE GUJARATI, United States District Judge:

Plaintiffs YSN Imports Inc. and Ashtead Holdings Inc. bring this action against Defendants Feige Oberlander, U Shippers Group Inc., U Shippers Group Management, Inc., and Green North America, Inc. for damages and injunctive relief. Plaintiffs are companies that ship cargo through common carriers; U Shippers Group Inc. (the “Association”) is a shippers’ association of which Plaintiffs are members; Feige Oberlander is the Association’s sole director and is also the sole officer of U Shippers Group Management, Inc., which manages the Association; and Green North America, Inc. is another entity with which Oberlander is affiliated. Plaintiffs allege that the Association breached the Association’s contracts with Plaintiffs by charging fees greater than those set forth in the contracts. Am. Compl. (“FAC”) ¶¶ 91-96, ECF No. 19.¹

¹ In addition to the breach of contract claim against the Association, Plaintiffs bring various other claims against the various Defendants: (1) a breach of fiduciary duty claim against Oberlander; (2) an anticipatory breach of contract claim against the Association; (3) tortious interference of contract claims against Oberlander, U Shippers Group Management, Inc., and Green North America, Inc.; (4) fraud claims against all Defendants; (5) prima facie tort claims

On December 9, 2020, Plaintiffs moved for a temporary restraining order and a preliminary injunction enjoining Defendants from (1) “canceling Plaintiffs’ membership” in the Association and (2) “changing [Plaintiffs’] current shipping allocations as members of” the Association.² ECF No. 5 at 1. A conference was held on Plaintiffs’ motion on December 11, 2020. After that conference, the parties filed additional briefing. Oral argument was held on December 18, 2020.

Because Plaintiffs have failed to demonstrate that they will suffer irreparable harm absent injunctive relief, Plaintiffs’ motion for a temporary restraining order and a preliminary injunction is denied.

It is well established that a preliminary injunction is “an extraordinary and drastic remedy . . . that should not be granted unless the movant, by a *clear showing*, carries the burden of persuasion.” *Sussman v. Crawford*, 488 F.3d 136, 139-40 (2d Cir. 2007) (quoting *Mazurek v. Armstrong*, 520 U.S. 968, 972 (1997)). “For a preliminary injunction to issue, the movant must establish ‘(1) either (a) a likelihood of success on the merits or (b) sufficiently serious questions going to the merits to make them a fair ground for litigation and a balance of hardships tipping decidedly in the movant’s favor, and (2) irreparable harm in the absence of the injunction.’” *Kelly v. Honeywell Int’l, Inc.*, 933 F.3d 173, 183-84 (2d Cir. 2019) (quoting *Faiveley Transp. Malmo AB v. Wabtec Corp.*, 559 F.3d 110, 116 (2d Cir. 2009)). In this Circuit, “the standard for an entry of a [temporary restraining order] is the same as for a preliminary injunction.” *Andino v. Fischer*, 555 F. Supp. 2d 418, 419 (S.D.N.Y. 2008).

against all Defendants; and (6) price gouging claims against the Association, under California state law. FAC ¶¶ 97-141.

² Notably, the parties’ contracts and the Association’s bylaws, which the contracts reference, do not set specific shipping allocations for Plaintiffs.

A showing of irreparable harm is “the single most important prerequisite for the issuance of a preliminary injunction.” *Grand River Enter. Six Nations, Ltd. v. Pryor*, 481 F.3d 60, 66 (2d Cir. 2007). Such harm is “an injury that is not remote or speculative but actual and imminent, and ‘for which a monetary award cannot be adequate compensation.’” *Tom Doherty Assocs., Inc. v. Saban Entm’t, Inc.*, 60 F.3d 27, 37 (2d Cir. 1995) (quoting *Jackson Dairy, Inc. v. H.P. Hood & Sons, Inc.*, 596 F.2d 70, 72 (2d Cir. 1979)). Where, as here, the movant fails to show clearly the likelihood of irreparable harm, the Court need not reach the movant’s likelihood of success on the merits. *See Grand River Enter. Six Nations, Ltd.*, 481 F.3d at 66-67 (“[T]he moving party must first demonstrate that such injury is likely before the other requirements for the issuance of an injunction will be considered.”).

Plaintiffs have failed to demonstrate a likelihood of harm for which an eventual monetary award would not make them whole. As an initial matter, Plaintiffs have failed to demonstrate that they are incapable of paying the additional fees requested by Defendants. To the contrary, Plaintiffs have represented that they are willing to place the additional fees into an escrow account during the pendency of this litigation. Drew Decl. ¶ 21, ECF No. 6; *see also* December 18, 2020 Oral Argument, ECF No. 30. Thus, any harm caused by termination of Plaintiffs’ membership in the Association for nonpayment would be self-inflicted and avoidable and cannot be found to be “actual and imminent.” Moreover, Plaintiffs have not clearly demonstrated that, were their memberships in the Association to be terminated, other shipping options are unavailable to them or are available only at prohibitively greater costs.³

³ Similarly, Plaintiffs have not clearly demonstrated that other options are unavailable to them should they fail to obtain the shipping allocations they seek from the Association.

Plaintiffs claim that payment of the additional fees will cause irreparable harm because they will be unable to recover such fees from Defendants should Plaintiffs ultimately succeed on the merits of their claims. Specifically, Plaintiffs argue that because, under its bylaws, the Association aims “to operate at a loss in order to maintain a not-for-profit status,” ECF No. 6-5 at art. XI, § 1, the Association is therefore judgment proof. Plaintiffs, however, present no evidence that the Association’s not-for-profit status renders the Association judgment proof. An organization’s not-for-profit status, by itself, does not render it judgment proof. Nor do Plaintiffs establish that the Association and co-defendants, including the for-profit U Shippers Group Management, Inc., are imminently close to insolvency. *See Brenntag Int’l Chems., Inc. v. Bank of India*, 175 F.3d 245, 250 (2d Cir. 1999) (noting that insolvency may support a finding of irreparable harm).

Accordingly, because Plaintiffs have failed to carry their burden of showing a clear likelihood of irreparable harm in the absence of injunctive relief, their motion for a temporary restraining order and a preliminary injunction is denied. The parties should seek a conference with Magistrate Judge Lois Bloom regarding any anticipated discovery.

SO ORDERED.

/s/ Diane Gujarati

DIANE GUJARATI

United States District Judge

Dated: December 21, 2020
Brooklyn, New York

EXHIBIT 3

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 21-02

**YSN IMPORTS INC. d/b/a FLAME KING,
Complainant**

v.

**FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC.,
U SHIPPERS GROUP MANAGEMENT CO., INC.,
Respondents.**

DECLARATION OF FEIGE OBERLANDER

Feige Oberlander declares that:

1. I am a respondent in the above proceeding and the Director of Respondent U Shippers Group Inc. (the “Association,”) a shippers’ association under the Shipping Act, 46 U.S.C. § 40102 (24), which provides services to more than 50 members by negotiating favorable contracts with steamship lines. I am also the Director of Respondent U Shippers Group Management Co. Inc. (“U Shippers Group”), which manages the Association.

2. Since its founding in early 2020, the Association has been provided shippers’ association services and has done so successfully despite the severe difficulties in the shipping industry caused by the COVID-19 crisis.

3. Complainant YSN Imports Inc. d/b/a Flame King (“Flame King”) is a sophisticated commercial business, who became a member of the Association to take advantage of its services and obtain favorable rates and shipping space. It did so in the midst of the COVID-19 pandemic, a time when, as Flame King admits in its Complaint, availability of commercial shipping arrangements was volatile and uncertain.

4. Under the member enrollment that Flame King executed in mid-July 2020, Complainant did not commit to place a single order with the Association. Nonetheless, the Association was able to provide affordable shipping space to Flame King at a time when such space was not readily available.

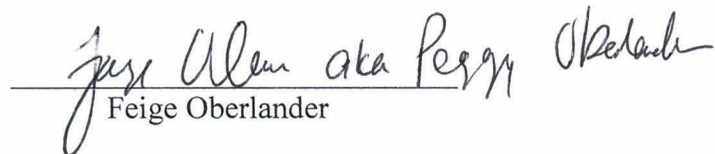
5. At the beginning of July 2020, the Association entered into a Service Contract with Maersk. On or about July 15, 2020, Flame King began booking containers under the Service Contract with Maersk. The Association communicated with Flame King that there was limited space available through the Maersk system, and that it should not overbook. Nevertheless, Flame King overbooked by about 50%. Later, after the United States District for the Eastern District of New York denied Flame King's application for a temporary restraining order against Respondent, Flame King raised its bookings to approximately *three* times the amount that it had been allocated by the Association.

6. Because of these excessive bookings, on February 18, 2021, the Association notified Flame King by email that its membership was terminated due to excessive and disproportionate bookings. The Association terminated Flame King's membership on the basis that Flame King had booked too many containers under the allocation set by the Association for the Service Contract with Maersk.

7. On December 8, 2020, Flame King filed a Complaint asserting many of the same factual allegations it does before the Commission in the United States District Court for the Eastern District of New York. A copy of the Second Amended Complaint in that case is being submitted.

8. I declare under penalty of perjury pursuant to 28 U.S.C. 1746 that the foregoing is true and correct.

Dated: May 6, 2021


Feige Oberlander

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel for Complainant at the following address(es):

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Executed: May 6, 2021

/s/Effrem Schwalb

Efrem Schwalb